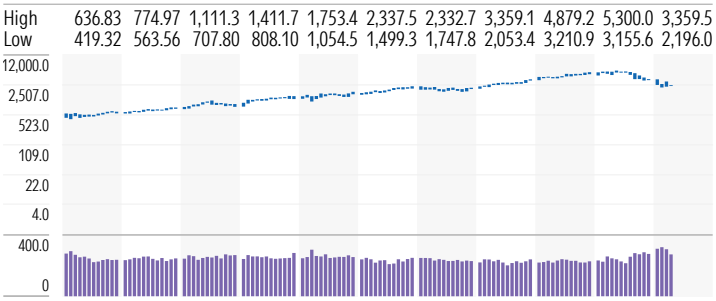
Constellation Software Inc CSU ★★★★★

ESG Risk Rating Assessment[†]
21-May-2025

Constellation Software is an acquirer, manager, and developer of vertical market software, or VMS, businesses globally. VMS differentiates from horizontal software in that it provides mission critical solutions within a specific industry for customers in a particular market. Constellation operates through a decentralized model in which each business operates as its own independent entity. Managers of individual businesses are incentivized to optimize their business for returns on invested capital and revenue growth. Excess cash generated by the individual businesses is repatriated to portfolio managers who focus on allocating as much capital as possible on new acquisitions. As of 2026, Constellation consisted of over 1,000 individual businesses.

Fair Value	Uncertainty	Economic Moat	Sector	Style	Market Cap (Mil)	Sales (Mil)	Last Close
$3,600.00	Medium	Narrow	Technology	Large Core	51,734	11,623	2,441.27



10 Yr Range(High/Low)
5300.00-419.32

52 Wk Range (High/Low)
5300.00-2196.00

Price Volatility
Monthly High/Low
Split

Trading Volume (Thousand)

Growth Rates (Compound Annual)

Grade: B	1 Yr	3 Yr	5 Yr	10 Yr
Revenue %	15.5	20.6	24.0	20.3
Operating Income %	28.2	26.8	23.4	21.8
Earnings/Share %	-30.0	0.0	3.2	11.2
Dividends %	0.0	0.0	0.0	0.0
Book Value/Share %	28.0	27.8	27.8	26.6
Stock Total Return	-48.4	-1.1	6.9	16.7
+/- Industry	—	—	—	—
+/- Market	-82.5	-22.7	-8.1	4.0

Profitability Analysis

Grade: C	Current	5 Yr Avg	Ind	Mkt
Return on Equity %	16.1	29.0	14.9	15.5
Return on Assets %	3.5	5.9	8.4	5.5
Revenue/Employee $K	168.4	156.5	—	0.0
Fixed Asset Turns	19.8	18.4	10.2	—
Inventory Turns	117.0	111.1*	105.4	—
Gross Margin %	37.6	36.1	64.0	—
Operating Margin %	18.1	16.8	18.4	—
Net Margin %	4.4	6.4	15.5	20.3
Free Cash Flow/Rev %	22.9	21.7	10.2	—
R&D/Rev %	—	—	13.4	—

Financial Position (USD)

Grade: B	12-24 $Mil	12-25 $Mil
Cash	1980	3089
Inventories	56	68
Receivables	1924	2218
Current Assets	4291	5803
Fixed Assets	550	624
Intangibles	7454	8388
Total Assets	12848	16171
Payables	1937	2336
Short-Term Debt	622	1366
Current Liabilities	4661	6074
Long-Term Debt	3544	3998
Total Liabilities	9561	11903
Total Equity	2794	3576

Valuation Analysis

	Current	5 Yr Avg	Ind	Mkt
Price/Earnings	72.7	93.1	39.1	18.8
Forward P/E	15.0	—	—	—
Price/Cash Flow	13.6	28.9	30.6	11.4
Price/Free Cash Flow	14.0	29.7	55.7	—
Dividend Yield %	0.2	0.2	0.3	2.4
Price/Book	10.4	28.1	5.6	2.6
Price/Sales	3.2	6.7	6.0	—
PEG Ratio	—	—	—	—

*3Yr Avg data is displayed in place of 5 Yr Avg

Stock Performance	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	YTD
Total Return %	6.7	25.7	15.0	48.0	31.5	42.3	-9.7	57.6	35.5	-25.6	-26.0
+/- Market	-14.4	16.6	23.9	25.1	25.9	17.2	-3.9	45.9	13.8	-57.3	-31.0
+/- Industry	—	—	—	—	—	—	—	—	—	—	—
Dividend Yield %	0.9	0.7	0.4	0.4	0.3	0.2	0.3	0.2	0.1	0.2	0.2
Market Cap $Mil	12929	16148	18518	26726	35028	49735	44798	69620	94194	69962	51734

Financials (USD)	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	TTM
Revenue $Mil	2125	2479	3061	3489	3969	5107	6622	8405	10066	11623	11623
Gross Margin %	37.2	37.8	37.1	37.0	37.6	36.8	35.1	35.0	35.9	37.6	37.6
Oper Income $Mil	368	439	531	583	737	936	1034	1323	1645	2108	2108
Operating Margin %	17.3	17.7	17.4	16.7	18.6	18.3	15.6	15.7	16.3	18.1	18.1
Net Income $Mil	207	222	379	333	436	310	512	565	731	512	512
Earnings Per Share $	9.76	10.47	17.90	15.73	20.59	14.65	24.18	26.67	34.48	24.15	24.15
Dividends $	4.00	4.00	2.00	4.00	4.00	4.00	4.00	4.00	4.00	4.00	4.00
Shares Mil	21	21	21	21	21	21	21	21	21	21	21
Book Value Per Share $	26.92	32.55	45.80	37.79	54.28	58.42	96.21	103.16	180.01	224.21	234.63
Oper Cash Flow $Mil	491	528	662	767	1186	1300	1297	1779	2196	2732	2732
Cap Spending $Mil	-19	-20	-25	-34	-25	-29	-41	-42	-67	-68	-68
Free Cash Flow $Mil	472	508	637	733	1161	1271	1256	1737	2129	2664	2664

Profitability	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	TTM
Return on Assets %	11.7	10.6	14.5	10.4	11.1	6.1	7.5	6.0	6.2	3.5	3.5
Return on Equity %	52.0	41.8	51.6	42.9	50.3	29.4	36.9	31.5	31.3	16.1	16.1
Asset Turnover	1.21	1.19	1.17	1.09	1.01	1.01	0.97	0.90	0.85	0.80	0.80
Net Margin %	9.7	9.0	12.4	9.5	11.0	6.1	7.7	6.7	7.3	4.4	4.4
Financial Leverage	4.1	3.8	3.4	5.1	4.2	5.4	4.6	5.8	4.6	4.5	4.5

Financial Health (USD)	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	12-25
Long-Term Debt $Mil	339	237	317	375	620	915	1153	2248	3544	3998	3998
Total Equity $Mil	458	604	866	687	1048	1060	1712	1876	2794	3576	3576
Debt/Equity	0.74	0.39	0.37	0.82	0.78	1.04	0.80	1.32	1.36	1.20	1.20
Working Capital $Mil	-99	-179	-137	-670	-455	-626	-1306	-2144	-370	-271	-271

Valuation	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	TTM
Price/Earnings	46.3	60.6	49.3	48.8	72.5	116.3	68.0	100.0	112.4	74.6	72.7
P/E vs. Market	—	—	0.0	0.0	0.0	0.1	—	—	0.1	0.0	3.9
Price/Sales	4.6	5.5	4.7	6.1	7.2	8.1	5.4	6.6	6.8	4.6	3.2
Price/Book	22.7	23.4	19.1	33.3	30.5	40.2	22.0	31.8	24.7	14.7	10.4
Price/Cash Flow	20.4	25.8	22.1	28.4	25.3	29.7	26.7	31.5	32.4	19.5	13.6

Quarterly Results (USD)

Revenue $	Mar	Jun	Sep	Dec
Most Recent	2653.0	2843.0	2947.0	3177.0
Previous	2354.0	2469.0	2542.0	2703.0
Rev Growth %	**Mar**	**Jun**	**Sep**	**Dec**
Most Recent	12.7	15.2	15.9	17.5
Previous	22.7	21.1	19.6	16.5
Earnings Per Share $	**Mar**	**Jun**	**Sep**	**Dec**
Most Recent	5.44	2.66	9.89	5.19
Previous	4.95	8.35	7.74	13.44

Close Competitors

	Mkt Cap $Mil	Rev $Mil	P/E	ROE%
Oracle Corp	420996	64076	26.3	64.4
Cisco Systems Inc	312121	59054	28.4	23.8

Major Fund Holders

	% of shares
Nissay Space Related Global Stock MF	0.07
AMOne Foreign Equity Passive Fund MF	0.02
MUAM Foreign Equity Index Mother	0.00

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[†]The ESG Risk Rating Assessment is a representation of Sustainalytics' ESG Risk Rating.

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